

Notes: Chuprinin & Sosyura (RFS, 2018)

Family Descent as a Signal of Managerial Quality: Evidence from Mutual Funds

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1 Big picture

- **Question.** Does a mutual fund manager's family background contain information about managerial quality, and can this information predict fund performance?
- **Core mechanism.** Asset management is a high-barrier profession. Candidates born into wealthy families can use family resources, networks, and social capital to pass entry barriers. Candidates born into poorer families must rely more on skill. Conditional on becoming a fund manager, low-wealth descent therefore signals stronger underlying ability.
- **Main finding.** Mutual fund managers from poorer families outperform managers from wealthier families. The baseline coefficient implies that an interquartile-range increase in family wealth lowers gross alpha by about 4.34 basis points per month, or about 0.52 percent per year.
- **Selection evidence.** The negative wealth-performance relation is stronger when entry barriers are higher: greater distance from home to college, greater distance from college to New York, business education as a specialized entry path, and higher unemployment at industry entry.
- **Career evidence.** Poor-background managers are promoted when they outperform. Rich-background managers' promotions are less sensitive to past performance, suggesting weaker performance-based selection for wealthy managers.
- **Mechanism evidence.** The performance gap is concentrated in stock picking rather than market timing. Poor-background managers trade more actively, hold positions for shorter horizons, and appear to create value through security selection.
- **What it is not.** The results do not support the idea that poorer-background managers outperform by engaging in questionable practices such as window dressing, risk shifting, or late trading.
- **Nonperformance benefits.** The paper does not find reliable evidence that wealthy-background managers attract more flows or charge higher fees that would compensate for their weaker performance.
- **Economic takeaway.** Family wealth functions as a labor-market signal in delegated asset management: it can relax entry barriers and thereby allow lower-skill candidates to enter or advance, creating agency costs for investors.

2 Data and measurement

2.1 Sample construction: Morningstar managers matched to Census records

- The core sample starts from solo-managed U.S. domestic equity mutual funds in Morningstar.
- The authors identify individual fund managers and match them to public records in LexisNexis to recover biographical information needed for census matching.
- The key data limitation is the public availability of individual 1940 Census records. Because records are useful only when the manager’s parents’ household can be located, the main sample focuses on managers born in or before 1945.
- The main sample contains **387 managers** with available census records.
- These managers manage **619 funds**. In the median sample year, 1994, the sample accounts for about **33.4 percent** of assets of solo-managed domestic equity funds.
- The sample is economically important but tilted toward older managers. The authors explicitly treat the main design as evidence about the genesis and early development of the mutual fund industry.

Interpretation: The census match is the paper’s central data contribution. It makes family background observable decades before the fund performance outcomes, which reduces reverse-causality concerns and lets the authors study endowed social status rather than income earned after success in finance.

2.2 Family wealth and family background variables

- The main measure of family wealth is based on the household where the manager grew up in the 1940 Census.
- The first component is the manager’s father’s income, scaled by the median male income in the state of residence.
- If father’s income is missing, usually because the father is a proprietor, business partner, or entrepreneur, the authors use scaled home value or scaled rent.
- The resulting variable, labeled *Wealth*, is measured in multiples of the state median. A value of 1 means that the family is at the state median; a value of 2 means twice the median.
- Alternative wealth proxies include father income, after-tax father income, accumulated savings, household rent, home value, servants, and wealth rank.
- The paper also collects parents’ education, parents’ college attendance, number of siblings, resident servants, tract-level home value/rent/education, and ratios of family resources to tract medians.

Interpretation: The wealth variable is designed to measure *endowed economic status*, not later success. Scaling by state medians adjusts for local economic conditions in 1940. Using rent/home value when income is missing keeps entrepreneurial and proprietor families in the sample.

2.3 Manager education and human-capital controls

- Manager education variables include private university, Ivy League, SAT rank, undergraduate admission rate, tuition, MBA degree, PhD degree, and undergraduate field when available.
- Parental education controls proxy for inherited or family-produced human capital.
- These variables matter because wealth and skill drivers are positively correlated. Wealthier families can purchase better education and networks, while cognitive and noncognitive traits may be correlated across generations.

Interpretation: The theoretical model predicts that controlling for wealth-correlated skill drivers can make the negative wealth-performance relation stronger. Without controls, wealth has two offsetting effects: it may relax selection, but it may also proxy for education and other inputs that improve performance.

2.4 Fund performance and portfolio outcome variables

- The main outcome is monthly *gross four-factor alpha*, defined as gross fund return minus the return predicted by a trailing 36-month four-factor model.
- The paper also studies net alpha, benchmark-adjusted return, abnormal return over the prospectus benchmark, and a dollar value-added measure based on beginning-of-month TNA times gross alpha.
- Fund-level controls include fund size, fund age, manager tenure, family size, number of funds in the family, volatility, and skewness.
- Portfolio activity outcomes include turnover, holding horizon, herding, stock picking, and market timing.
- Investor- and firm-side outcomes include monthly flows and annual expense ratios.

Interpretation: The multiple performance measures are important because return alpha alone could miss value creation through scale or benchmark choice. The paper therefore checks whether the wealth-performance relation survives alternative ways of measuring professional output.

2.5 Entry barriers, career outcomes, and conduct tests

- Entry-barrier variables include home-to-college distance, college-to-New-York distance, business/economics degree, and unemployment rate in the year of entry into mutual fund management.
- Promotions are inferred from large jumps in delegated assets or management fees: a promotion dummy equals one when assets or fees more than double relative to the previous month.
- Exits are defined as departures from the mutual fund industry, excluding lateral moves to hedge funds or insurance funds and excluding exits around death.
- Questionable-practice tests use backward-looking return gap for window dressing, risk shifting in response to past performance, and involvement in the 2003 late-trading scandal.

Interpretation: The data are built to test not only the baseline wealth-performance relation but also the mechanism. Entry barriers test selection into the industry; promotions and exits test selection after entry; questionable-practice variables test an alternative interpretation of performance.

3 Models and empirical specifications

3.1 Selection model: family wealth as a substitute for skill

The simple selection model assumes that a candidate becomes a fund manager if skill and family resources together exceed a barrier:

$$s + \beta_w w > \gamma,$$

where s is skill, w is family wealth, β_w measures how much wealth helps overcome the entry barrier, and γ is the stringency of the barrier.

Performance is a noisy function of skill:

$$\alpha = s + \varepsilon_\alpha.$$

When wealth and skill are independent, expected performance conditional on passing the barrier is decreasing in wealth:

$$E[\alpha \mid s + \beta_w w > \gamma] \text{ declines in } w \text{ if } \beta_w > 0.$$

Interpretation of the equation: A poor candidate who passes the barrier must have relatively high skill. A wealthy candidate can pass partly because wealth substitutes for skill. Conditional on entry, family wealth is therefore a negative signal of ability when wealth relaxes selection barriers.

3.2 Wealth-correlated skill drivers

The model allows skill to depend on skill drivers d , which may themselves be correlated with wealth:

$$s = d + \varepsilon_s, \quad d = d_0 + \delta w + \varepsilon_d.$$

Interpretation of the equation: Education, parental education, and networks can raise skill and be positively correlated with wealth. This creates an opposing positive wealth-performance channel. The empirical design therefore controls for education and parental characteristics so that the selection effect of wealth is isolated more clearly.

3.3 Baseline performance regression

The main empirical specification is:

$$\text{Alpha}_{mjt} = \beta \text{Wealth}_m + \Gamma_1 \text{FCcontrols}_{mjt-1} + \Gamma_2 \text{MCcontrols}_{mt-1} + \alpha_{Yt} + \delta_s + \varepsilon_{mjt},$$

where m indexes managers, j funds, t months, and s Morningstar styles.

- Alpha_{mjt} is gross four-factor alpha in percentage points.
- FCcontrols include fund and fund-family characteristics.
- MCcontrols include manager education and parental characteristics.
- α_{Yt} are time fixed effects; δ_s are Morningstar fund style fixed effects.
- Standard errors are clustered at the fund-manager level.

Interpretation of the equation: The coefficient β asks whether managers from wealthier families deliver lower alpha after comparing funds in the same style and time period and after controlling for manager/fund characteristics.

3.4 Promotion and exit regressions

The career progression specification is:

$$\begin{aligned} Promotion_{mjt} = & \beta_1 PastGAlpha_{mt} + \beta_2 Wealth_m \\ & + \beta_3 (PastGAlpha_{mt} \times Wealth_m) \\ & + \Gamma_1 FControls_{mjt-1} + \Gamma_2 MControls_{mt-1} \\ & + \alpha_{Yt} + \delta_s + \varepsilon_{mjt}. \end{aligned}$$

The exit regression replaces $Promotion_{mjt}$ with an exit indicator.

Interpretation of the equation: The key coefficient is β_3 . A negative interaction in promotions means wealthy managers' promotions are less performance-sensitive. A positive interaction in exits means poor performance is less likely to lead to exit for wealthy managers.

3.5 Portfolio activity and value-creation channels

The portfolio-activity specification is:

$$Activity_{mjT} = \beta Wealth_m + \Gamma_1 FControls_{mjT-1} + \Gamma_2 MControls_{mT-1} + \alpha_{Yt} + \delta_s + \varepsilon_{mjT}.$$

Interpretation of the equation: These regressions ask what poor-background managers do differently. The central distinction is between activity that adds value, such as security selection, and activity that merely increases turnover or risk.

3.6 Flow and fee regressions

The flow specification regresses monthly capital flows on family wealth and past performance, including flexible forms of the flow-performance relation. The fee specification regresses annual expense ratios on family wealth, with and without controls for fund size and performance.

Interpretation of the equation: These regressions test whether wealthy-background managers compensate their employers through nonperformance benefits. If family background attracts investors or supports higher fees, wealth should predict flows or expense ratios after controlling for performance.

4 Identification and empirical design

4.1 Core identification logic

- The paper is not a randomized experiment. Its identification is based on predetermined family-background measures, rich controls, and mechanism tests.
- Family wealth is measured in 1940, decades before mutual fund performance. This eliminates reverse causality from fund performance to family wealth.
- The baseline regressions compare managers within the same fund style and time period, controlling for fund size, age, manager tenure, fund-family characteristics, volatility, skewness, education quality, PhD status, and parental education.
- The theoretical model predicts that the negative wealth-performance relation should become stronger after controlling for wealth-correlated skill drivers. This is exactly the pattern in Table 3.

Interpretation: The main empirical challenge is that family wealth can proxy for both privilege and productive human capital. The model turns this ambiguity into a testable prediction: after controlling for education and other skill drivers, wealth should more clearly reveal the selection effect.

4.2 Mechanism tests using entry barriers

- If poor candidates must be especially skilled to overcome entry barriers, then the performance gap should be stronger when barriers are higher.
- The paper uses distance from home to college and distance from college to New York as geographic and monetary barriers.
- It uses a business degree as a specialized-career barrier.
- It uses unemployment at entry as a time-series barrier because job scarcity increases the value of networks and family resources.

Interpretation: This is the strongest mechanism evidence. The wealth-performance gap becomes larger exactly when family resources should matter more for entering asset management.

4.3 Career-progression tests

- The paper cannot observe rejected job applicants, but it can observe current managers' promotions and exits.
- If rich-background managers are evaluated less strictly, promotions should depend less on past performance for them.
- If poor-background managers are screened more strictly, their career advancement should be more performance-sensitive.
- Table 7 shows that past performance predicts promotions and exits, but the sensitivity is muted for wealthy managers.

Interpretation: This test moves the evidence beyond fund returns. It shows that labor-market decisions inside asset management appear to apply less objective performance criteria to managers from wealthy backgrounds.

4.4 Alternative explanations and falsification-style tests

- The paper tests whether poor-background managers outperform by using questionable practices. The evidence does not support this view.
- Window dressing and risk shifting do not increase for poor-background managers.
- Wealthier managers, if anything, are more likely to be associated with late-trading scandals in the top wealth quintile.
- The paper also checks flows and fees to see whether wealthy managers generate nonperformance benefits. It does not find reliable evidence.

Interpretation: These tests narrow the interpretation. The main pattern is not simply unethical behavior by poor-background managers or hidden revenue benefits from rich-background managers.

4.5 Threats and limits

- The sample is restricted to older managers whose family information is available from the 1940 Census.
- Family wealth may still proxy for unobserved social networks, culture, or family traits not fully captured by controls.
- The paper studies managers who entered the industry, not the full pool of applicants.
- Fund management is a special labor market with standardized performance metrics; generalizing to other professions requires caution.
- The tuition-based large-sample extension is suggestive because tuition is a noisy proxy for family wealth.

Interpretation: The paper's most credible claim is not that wealth causally lowers skill. The claim is that, conditional on entering asset management, family wealth is an informative signal because entry and promotion criteria appear less stringent for the wealthy.

5 Tables and figures

5.1 Table 1: Summary statistics, Panel A - Managers and funds; Panel B - Households in which managers grew up

Read:

- The average manager in the core sample was born in 1938 and had a career length of about 13 years.
- Manager education is strong: about 65 percent attended private universities, 18 percent attended Ivy League institutions, and 60 percent hold MBA degrees.
- The mean gross monthly alpha is 0.040 percentage points, while the mean net alpha is -0.054 percentage points.
- Managers' childhood households are relatively affluent: fathers' median income is 2,000 and median home value is 7,000 in 1940 dollars.
- The data also show dispersion: some managers grew up in modest households, while others were in very wealthy households with servants and high-value homes.

Interpretation: Table 1 establishes both relevance and variation. The managers are drawn from relatively advantaged families on average, but there is enough dispersion in family wealth to test whether descent predicts performance. It also shows why education controls matter: wealthy managers often have higher-quality educational backgrounds.

Economic message: The paper is not comparing poor managers with truly poor national households; it is comparing relative family wealth within a high-status professional group. That makes the negative wealth-performance relation more striking.

Table 1
Summary statistics

A. Managers and funds

	Mean	SD	10th perc.	25th perc.	Median	75th perc.	90th perc.
Managers							
Birth year	1938.4	6.7	1930.0	1936.0	1940.0	1943.0	1945.0
Career length (years)	13.02	9.04	3.33	6.17	11.33	18.33	26.08
Private university, indicator	0.65	0.48	0.00	0.00	1.00	1.00	1.00
Ivy League institution, indicator	0.18	0.39	0.00	0.00	0.00	0.00	1.00
SAT rank	82.5	15.5	62.0	73.0	88.0	97.0	98.0
Undergraduate admission rate (%)	46.8	26.1	11.0	23.0	45.5	70.0	83.0
Undergraduate in-state tuition (\$)	18,659.4	11,056.7	3,916.0	5,670.0	23,775.0	28,400.0	29,318.0
MBA degree, indicator	0.60	0.49	0.00	0.00	1.00	1.00	1.00
PhD degree, indicator	0.04	0.19	0.00	0.00	0.00	0.00	0.00
Mutual funds							
Monthly return (pp)	0.985	5.146	-4.800	-1.710	1.230	3.905	6.713
Monthly gross alpha (pp)	0.000	2.115	-2.116	-0.036	0.029	0.994	2.182
Monthly net alpha (pp)	-0.054	2.112	-2.207	-1.025	-0.057	0.904	2.077
Volatility (three-year rolling; pp)	4.825	1.876	2.457	5.536	4.600	5.782	7.032
Total net assets, \$mil	1,778.01	7,988.06	13.38	48.91	193.85	830.95	2,924.82

(continued)

Table 1
Continued

B. Households in which managers grew up

	Mean	SD	10th perc.	25th perc.	Median	75th perc.	90th perc.
Fathers' household (1940 census records)							
Home value (\$)	10,708.0	12,605.1	2,940.0	4,000.0	7,000.0	12,000.0	25,000.0
Monthly rent (\$)	54.46	61.48	18.00	30.00	40.00	55.00	90.00
Number of siblings	1.43	1.39	0.00	0.00	1.00	2.00	3.00
Resident servants, indicator	0.16	0.37	0.00	0.00	0.00	0.00	1.00
Father							
Birth year	1906.2	9.9	1894.0	1902.0	1908.0	1913.0	1917.0
Income (\$)	2,298.2	1,386.3	780.0	1,300.0	2,000.0	3,300.0	5,000.0
Years of education	13.3	3.2	8.0	12.0	14.0	16.0	17.0
Attended college, indicator	0.56	0.50	0.00	0.00	1.00	1.00	1.00
Mother							
Birth year	1909.7	8.9	1899.0	1906.0	1911.0	1916.0	1919.0
Income (\$)	842.6	421.6	240.0	400.0	864.0	1,100.0	1,300.0
Years of education	12.7	2.8	8.0	12.0	12.0	15.0	16.0
Attended college, indicator	0.47	0.50	0.00	0.00	0.00	1.00	1.00
Tract-level demographics (1940 Census files)							
Median home value in the tract (\$)	5,949.0	4,378.1	2,042.0	3,380.5	5,331.0	6,961.0	10,200.0
Median rent in the tract (gross; \$)	46.25	11.49	30.75	37.24	46.27	53.69	62.19
Median education years in the tract	10.50	4.39	6.00	8.57	9.55	12.22	12.53
Household home value rel. to tract median	1.22	0.53	0.70	0.86	1.03	1.47	1.97
Household rent rel. to tract median	1.23	0.93	0.65	0.81	0.96	1.31	1.77
Father's education rel. to tract median (male)	1.31	0.38	0.92	1.03	1.30	1.45	1.86

This table shows summary statistics for the main sample of 387 managers born in or before 1945. Data on managers' careers and education are from Morningstar and FactSet Biographies. University characteristics, such as tuition and SAT rank, are based on the 2004 figures reported in the College Handbook of the College Entrance Examination Board. Data on the households where fund managers grew up are from the 1940 census records, and monetary values are reported in the 1940 dollars. Tract-level demographic variables are computed from the summary files for the 1940 census compiled by Elizabeth Bogue. Mutual fund and family characteristics are from Morningstar.

(a) Panel A: managers and funds

(b) Panel B: childhood households

5.2 Figure 1: Distribution of annual incomes and schooling for managers' fathers and the general male population

Read:

- Panel A compares income distributions: managers' fathers are shifted toward the top of the national male income distribution.
- Panel B compares schooling distributions: managers' fathers are much more educated than the general male population.
- The figure makes the social-background comparison visual: fund managers disproportionately come from high-income and high-education families.

Interpretation: Figure 1 is descriptive, not causal. It shows that asset management drew heavily from elite or upper-middle-class households, but also that some managers came from lower-income backgrounds. The latter group is essential for testing the selection mechanism.

Economic message: The figure frames the paper’s labor-market question: in an elite profession, does being born with fewer resources make entry a stronger signal of skill?

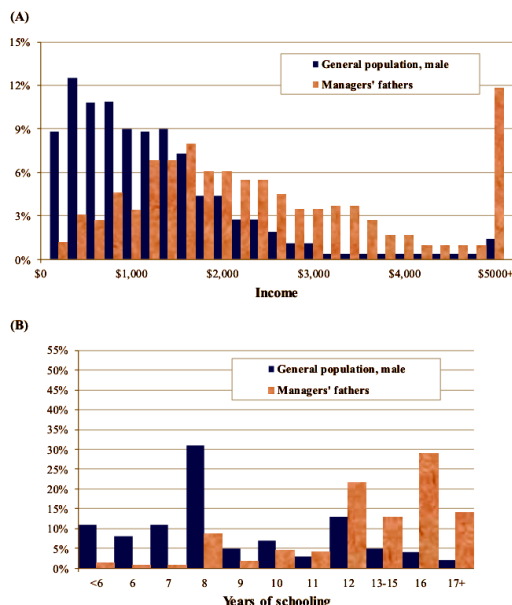


Figure 1: fathers’ income and education distributions

5.3 Table 2: Univariate relationships - Correlations and family wealth quintiles

Read:

- Panel A shows that wealth proxies are strongly correlated. Father’s income is correlated 0.445 with home value and 0.627 with rent.
- Family wealth is positively correlated with education quality: higher SAT rank, lower admission rate, private university, Ivy League, and higher tuition.
- Panel B shows that the average family wealth measure rises from 0.75 in the bottom quintile to about 6.7 in the top quintile.
- The top two wealth quintiles have weaker raw alpha than the lower quintiles, though the relation is not monotonic before controls.

Interpretation: Table 2 has two roles. First, it validates the wealth measure. Second, it shows why raw comparisons are insufficient: wealthier managers have better education, which should improve performance. The later regressions must isolate privilege from skill-producing inputs.

Economic message: The table previews the identification challenge. Wealth is a signal of both family resources and education quality; the paper’s main empirical design separates the two.

Table 2
Univariate relationships

A. Correlations

	Father's income	Home value	Rent	Number of siblings	Tract home value	Tract rent	Parents' education	Private university	Ivy League inst.	SAT rank	Adm. rate	Tuition	MBA degree	PhD degree
Father's income	1.000													
Home value	0.445	1.000												
Rent	0.627		1.000											
Number of siblings	0.005	0.078	0.027	1.000										
Tract home value, median	0.369	0.064	0.228	0.151	1.000									
Tract rent, median	0.360	-0.138	0.499	0.164	0.389	1.000								
Parents' years of education	0.334	0.224	0.273	-0.074	0.209	0.224	1.000							
Private university	0.279	0.211	0.254	0.008	0.199	0.150	0.129	1.000						
Ivy League institution	0.307	0.315	0.218	-0.025	0.192	0.189	0.174	0.344	1.000					
SAT rank	0.396	0.312	0.263	0.012	0.231	0.174	0.242	0.422	0.462	1.000				
Admission rate	-0.354	-0.348	-0.238	-0.025	-0.191	-0.225	-0.206	-0.432	-0.575	-0.776	1.000			
Tuition	0.362	0.246	0.306	0.029	0.268	0.228	0.198	0.899	0.433	0.612	-0.590	1.000		
MBA degree, indicator	-0.195	-0.027	-0.195	-0.037	-0.213	-0.027	-0.002	-0.040	-0.041	-0.050	0.028	-0.041	1.000	
PhD degree, indicator	-0.076	-0.110	-0.035	0.037	-0.049	-0.059	0.040	-0.112	-0.094	-0.055	0.096	-0.096	-0.025	1.000

(continued)

(a) Panel A: correlations

Table 2
Continued
B. Family wealth quintiles

	Q1		Q2		Q3		Q4		Q5	
	Mean	Median	Mean	Median	Mean	Median	Mean	Median	Mean	Median
Wealth, mean	0.75	0.78	1.49	1.48	2.17	2.19	3.30	3.25	6.69	5.10
Wealth, ln-sample rank	12.55	10.50	15.87	15.50	14.60	16.00	40.75	35.00	83.03	61.00
Father's income (\$)	752.8	728.0	1,524.1	1,560.0	2,191.2	2,240.0	3,133.7	3,200.0	4,641.4	5,000.0
Home value (\$)	3,692.2	2,451.1	5,568.8	4,995.0	7,166.2	6,300.0	9,315.7	7,200.0	20,054.1	14,250.0
Monthly rent (\$)	31.62	27.50	31.64	35.00	43.02	43.00	53.45	50.00	147.20	97.50
Number of siblings	1.80	1.00	1.18	1.00	1.41	1.00	1.18	1.00	1.64	1.00
Number of resident servants	0.03	0.00	0.05	0.00	0.10	0.00	0.21	0.00	0.86	1.00
Monthly gross alpha (pp)	0.069	0.041	0.094	0.099	0.089	0.053	0.020	0.012	-0.033	-0.022
Monthly net alpha (pp)	-0.051	-0.052	0.007	-0.027	-0.044	-0.030	-0.068	-0.068	-0.134	-0.111
Parents' years of education	11.5	12.0	12.4	12.5	12.9	13.0	13.7	14.0	14.6	15.0
Parents attended college, indicator	0.40	0.00	0.57	1.00	0.65	1.00	0.75	1.00	0.89	1.00
Private university, indicator	0.54	1.00	0.61	1.00	0.59	1.00	0.75	1.00	0.78	1.00
Ivy League institution, indicator	0.05	0.00	0.15	0.00	0.11	0.00	0.28	0.00	0.32	0.00
SAT rank	74.2	75.5	80.4	81.0	81.3	87.0	87.5	92.0	89.1	90.0
Admission rate (%)	56.9	64.0	49.7	54.0	50.3	49.0	40.3	35.0	36.9	34.5
Tuition (\$)	15,349.4	17,137.0	17,285.3	18,309.0	17,153.5	20,195.0	21,596.3	27,555.5	22,602.4	28,090.0
MBA degree, indicator	0.64	1.00	0.70	1.00	0.58	1.00	0.64	1.00	0.42	0.00
PhD degree, indicator	0.06	0.00	0.04	0.00	0.03	0.00	0.03	0.00	0.03	0.00

This table provides descriptive statistics for the main sample. Panel A shows correlations among managers' and households' characteristics. Panel B shows mean and median values for the variables of interest for each quintile of the managers' household wealth distribution. Appendix D defines the variables.

(b) Panel B: family wealth quintiles

5.4 Table 3: Family wealth and managerial performance

Read:

- Panel A estimates the main wealth-performance relation using gross four-factor alpha.
- The coefficient on Wealth is negative in all specifications and becomes stronger after adding manager and parent controls.
- In the full specification, an interquartile-range increase in wealth reduces alpha by about 4.34 bps per month, or about 0.52 percent per year.
- Wealth rank produces a similar conclusion: moving 50 percentile ranks up in family wealth reduces annual alpha by about 0.65 percent.
- Panel B shows that the result survives alternative wealth measures such as father income, after-tax income, accumulated savings, home value, rent, and servants.
- Panel C shows that the result survives alternative performance metrics: benchmark-adjusted returns, abnormal benchmark returns, and value extracted.

Interpretation: Table 3 is the paper's baseline empirical result. The fact that the negative coefficient strengthens after adding education controls is especially important because it matches the model prediction. Wealth-correlated skill drivers have positive effects, but once those are controlled for, family wealth itself signals easier selection and lower skill conditional on becoming a manager.

Economic message: The table implies that family descent can forecast fund performance even in a sophisticated financial labor market where output is measured with standardized risk-adjusted returns.

Table 3
Family wealth and managerial performance

A. Main analysis

Dependent variable	Gross four-factor alpha					Gross four-factor alpha				
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Wealth	-0.0136*** (-3.72)	-0.0161*** (-4.26)	-0.0160*** (-4.20)	-0.0159*** (-4.12)	-0.0191*** (-4.64)					
Wealth, rank						-0.0589* (-1.72)	-0.0901** (-2.58)	-0.0903*** (-2.55)	-0.0840*** (-2.38)	-0.1075*** (-2.91)
FundSize	-0.0633*** (-5.96)	-0.0621*** (-5.78)	-0.0636*** (-5.98)	-0.0645*** (-6.15)	-0.0637*** (-5.79)	-0.0606*** (-5.76)	-0.0595*** (-5.55)	-0.0607*** (-5.67)	-0.0619*** (-5.93)	-0.0609*** (-5.57)
FundAge	-0.0008 (-0.44)	-0.0011 (-0.61)	-0.0012 (-0.66)	-0.0007 (-0.36)	-0.0009 (-0.50)	-0.0008 (-0.44)	-0.0010 (-0.60)	-0.0011 (-0.64)	-0.0006 (-0.34)	-0.0009 (-0.48)
ManagerTenure	0.0028* (1.82)	0.0028* (1.88)	0.0030** (1.96)	0.0030** (2.39)	0.0030** (2.40)	0.0023 (1.52)	0.0023 (1.58)	0.0025* (1.67)	0.0023*** (2.07)	0.0023*** (2.07)
FirmSize	0.0556*** (4.59)	0.0508*** (4.28)	0.0512*** (4.28)	0.0489*** (4.19)	0.0457*** (3.76)	0.0531*** (4.58)	0.0499*** (4.23)	0.0501*** (4.21)	0.0489*** (4.21)	0.0453*** (3.77)
FirmLogNumFunds	-0.0753*** (-3.68)	-0.0719*** (-3.47)	-0.0704*** (-3.34)	-0.0656*** (-3.16)	-0.0648*** (-2.99)	-0.0734*** (-3.77)	-0.0715*** (-3.43)	-0.0715*** (-3.43)	-0.0688*** (-3.34)	-0.0691*** (-3.23)
Volatility	-0.0465*** (-4.07)	-0.0463*** (-4.04)	-0.0465*** (-4.04)	-0.0453*** (-3.97)	-0.0469*** (-4.44)	-0.0469*** (-4.05)	-0.0469*** (-4.04)	-0.0466*** (-4.05)	-0.0466*** (-3.92)	-0.0483*** (-4.38)
Skewness	0.0013*** (4.48)	0.0013*** (4.50)	0.0013*** (4.55)	0.0013*** (4.39)	0.0013*** (4.36)	0.0013*** (4.52)	0.0013*** (4.53)	0.0013*** (4.58)	0.0013*** (4.41)	0.0013*** (4.35)
UnSATRank		0.1731** (2.09)			0.1156 (1.33)		0.1812** (2.16)			0.1305 (1.49)
UnAdmissionRate			-0.1090** (-2.48)					-0.1164** (-2.56)		
ParentsEdu				0.0442*** (2.63)	0.0385*** (2.15)				0.0376*** (2.25)	0.0310* (1.73)
HasPhD					-0.0119 (-0.26)					-0.0130 (-0.28)
Time FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Num. obs.	46,492	46,221	45,989	45,236	43,376	47,018	46,747	46,515	45,762	43,902
Adj. R-sq	0.0153	0.0155	0.0156	0.0151	0.0161	0.0151	0.0153	0.0154	0.0149	0.0159

(continued)

Panel A: main analysis

Dependent variable	Gross four-factor alpha									
Model	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
<i>Ftincome, actual</i>	-0.0285** (-2.45)	-0.0304*** (-2.62)								
<i>Ftincome, after taxes</i>			-0.0310** (-2.51)	-0.0328*** (-2.67)						
<i>AccumulatedSavings</i>					-0.0023** (-2.54)	-0.0023** (-2.57)				
<i>Housing</i>							-0.00722** (-2.40)	-0.0081*** (-2.58)		
<i>WealthQ2</i>									0.0226 (0.80)	0.0130 (0.45)
<i>WealthQ3</i>									-0.0472 (-1.42)	-0.0508 (-1.55)
<i>WealthQ4</i>									-0.0749** (-2.12)	-0.1015*** (-2.78)
<i>WealthQ5</i>									-0.1086*** (-3.33)	-0.1134*** (-3.49)
Fund controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Manager's controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Parents' controls	No	Yes	No	Yes	No	Yes	No	Yes	No	Yes
Time FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Num. obs.	30,447	29,591	29,591	28,594	28,594	42,999	41,755	44,620		
Adj. R-sq	0.0165	0.0165	0.0170	0.0170	0.0171	0.0171	0.0157	0.0155	0.0164	0.0162

(continued)

Dependent variable	Benchmark-adjusted return		Abnormal return over benchmark		Value extracted	
	(1)	(2)	(3)	(4)	(5)	(6)
<i>Wealth</i>	-0.0149*** (-3.29)	-0.0172*** (-3.18)	-0.0513*** (-2.77)	-0.0123** (-2.49)	-0.2865** (-2.42)	-0.4316*** (-2.93)
Fund controls	Yes	Yes	Yes	Yes	Yes	Yes
Manager's controls	Yes	Yes	Yes	Yes	Yes	Yes
Parents' controls	No	Yes	No	Yes	No	Yes
Time FEs	Yes	Yes	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes	Yes	Yes
Num. obs.	43,573	42,597	43,537	42,161	44,609	43,565
Adj. R-sq	0.0128	0.0124	0.0131	0.0146	0.0041	0.0041

This table studies the relation between the family wealth of fund managers and their performance. Panel A shows regressions of the funds' four-factor monthly alpha (in percentage points) on two relative measures of the manager's family wealth. The dependent variable is the gross fund alpha, defined as the gross return of the fund minus the return predicted by the four-factor model estimated over the trailing 36 months. The main independent variable, *Wealth*, is a measure of the relative economic status of the household where the manager grew up, expressed in multiples of the state median. This variable is equal to the father's income scaled by the median male income in the state (when the father's income is available), and to the home value or rent scaled by the respective state median (when the father's income is unavailable). *Wealth rank* is equal to the percentile rank in the sample (in percentage points) of the father's income, if available, and to the percentile rank of the home value or rent (these variables are defined on nonoverlapping subsamples), if the father's income is unavailable. Panel B shows the results for additional proxies of wealth. *Ftincome, actual* is the actual father's income in 1940 (in thousands of dollars). *Ftincome, after taxes* is the father's income after federal and state taxes (historical tax data is from The Tax Foundation). *AccumulatedSavings* is the measure of the family's accumulated savings, computed as one-third of the father's total after-tax income earned from the year the father joined the workforce to the year the manager turned 18. *WealthQ* are the dummy variables indicating quintiles of the wealth distribution (main measures). Panel C shows the results for alternative measures of investment performance. *Benchmark-adjusted return* (in percentage points) is the fund's return net of the prospectus benchmark index return. *Abnormal return over benchmark* (in percentage points) is the fund's return minus the return predicted by the benchmark-based one-factor model. *Value extracted* is the dollar measure of the value extracted from capital markets (in millions of dollars) computed as the product between the fund's gross alpha and the fund's inflation-adjusted TNA (expressed in 2012 dollars) at the end of the previous month. The values of time-varying control variables are taken at the end of the month preceding the observation month. Appendix D defines the variables. All regressions include Morningstar fund style fixed effects and time fixed effects. Standard errors are clustered at the fund manager level, and the corresponding *t*-statistics are reported in parentheses. Statistical significance levels for this test are indicated as follows: *, 10%; **, 5%; and ***, 1%.

(a) Panel B: alternative wealth measures

(b) Panel C: alternative performance measures

5.5 Table 4: Mediating effects

Read:

- The negative wealth-performance relation is strongest among only children; more siblings weaken the relation, consistent with resource dilution.
- The wealth-performance gap is larger in down markets, when managerial skill is more likely to be revealed.
- The interaction with manager tenure is economically small and not significant.

Interpretation: Table 4 tests whether the signal is sharper when family resources matter more or when skill is more observable. Sibling dilution supports the resource channel, and down-market amplification supports the view that poor-background managers have higher skill rather than merely different risk exposure.

Economic message: The wealth signal is not constant across contexts. It is strongest when the paper's mechanism predicts it should be strongest.

Dependent variable	Gross four-factor alpha			
Model	(1)	(2)	(3)	(4)
<i>Wealth</i>	-0.0305*** (-3.76)	-0.0302*** (-4.19)	-0.0241*** (-3.95)	-0.0251*** (-3.71)
<i>NumberOfSiblings</i>	-0.0319*** (-2.98)			
<i>Wealth * NumberOfSiblings</i>	0.0067*** (2.07)			
<i>UpMarket</i>		-0.0465 (-1.58)		
<i>Wealth * UpMarket</i>		0.0176** (2.07)		
<i>HighMarket</i>			-0.0126 (-0.42)	
<i>Wealth * HighMarket</i>			0.0093 (1.07)	
<i>ManagerTenure</i>				0.0019 (0.81)
<i>Wealth * ManagerTenure</i>				0.0006 (1.38)
Fund controls	Yes	Yes	Yes	Yes
Manager's controls	Yes	Yes	Yes	Yes
Parents' controls	Yes	Yes	Yes	Yes
Time FE	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes
Num. obs.	39,515	43,376	43,376	43,376
Adj. R-sq	0.0159	0.0161	0.0161	0.0161

This table studies how the relation between family wealth and managerial performance varies with manager and market characteristics. The dependent variable is the gross fund alpha (in percentage points), defined as the gross return of the fund minus the return predicted by the four-factor model estimated over the trailing 36 months. *NumberOfSiblings* is the number of siblings of the manager. *UpMarket* (*HighMarket*) is an indicator variable equal to one in months when the return on the S&P 500 index was positive (above average in the sample). *ManagerTenure* is the duration in years of the manager's tenure with the fund. The control variables are the same as in Table 3 (suppressed for brevity). Appendix D defines the variables. All regressions include Morningstar fund style fixed effects and time fixed effects. Standard errors are clustered at the fund manager level, and the corresponding *t*-statistics are reported in parentheses. Statistical significance levels for this test are indicated as follows: *, 10%; **, 5%; and ***, 1%.

Table 4: mediating effects

5.6 Table 5: Family wealth and investment practices

Read:

- Panel A finds no evidence that poorer-background managers are more likely to window dress.
- Panel B finds no evidence that poorer-background managers engage in performance-driven risk shifting.
- Panel C shows that top-wealth-quintile managers are more likely to be connected to late-trading-tainted fund families in the 2003 scandal.

Interpretation: Table 5 addresses an alternative explanation: perhaps poor-background managers generate higher returns by taking questionable actions. The evidence does not support that view. If anything, the late-trading evidence points in the opposite direction for the wealthiest group.

Economic message: The performance gap is more plausibly driven by selection and skill than by unethical behavior by poorer-background managers.

[illegible]

5.7 Table 6: Barriers on a path to asset management

Read:

- The negative relation between wealth and performance is stronger when the manager's childhood home is farther from the college attended.
- It is stronger when the college is farther from New York, the center of the early asset management industry.
- It is stronger for managers with business degrees, a specialized path into asset management.
- It is stronger when national unemployment was high at industry entry.

Interpretation: Table 6 is the key mechanism table. These entry barriers are easier for wealthy candidates to overcome. If poorer candidates still pass them, they must be especially skilled. The interactions confirm that the wealth-performance gap widens precisely when barriers are higher.

Economic message: The results support a selection interpretation rather than a simple correlation between background and performance.

5.8 Table 7: Managerial promotions and exits

Read:

- Past gross alpha is a strong positive predictor of promotions.
- The interaction between past performance and wealth is negative for promotions: wealthy managers' promotions depend less on performance.

Table 6
Barriers on a path to asset management

Dependent variable	Gross four-factor alpha					
Model	(1)	(2)	(3)	(4)	(5)	(6)
<i>Wealth</i>	-0.0128** (-2.31)	-0.0157*** (-3.73)	-0.0081* (-1.66)	-0.0142*** (-3.79)	-0.0183*** (-4.30)	0.0268 (1.39)
<i>HomeUniDistance</i>	0.0291 (1.49)					
<i>Wealth * HomeUniDistance</i>	-0.0086 (-1.62)					
<i>HighHomeUniDistance</i>		0.0709* (1.72)				
<i>Wealth * HighHomeUniDistance</i>		-0.0174* (-1.68)				
<i>UniNYDistance</i>			0.0432*** (3.67)			
<i>Wealth * UniNYDistance</i>			-0.0101** (-2.34)			
<i>HighUniNYDistance</i>				0.0787** (2.40)		
<i>Wealth * HighUniNYDistance</i>				-0.0195* (-1.73)		
<i>BusinessDegree</i>					0.0040 (0.11)	
<i>Wealth * BusinessDegree</i>					-0.0223** (-2.03)	
<i>UnemploymentAtEntry</i>						0.0338** (2.51)
<i>Wealth * UnemploymentAtEntry</i>						-0.0075** (-2.21)
Fund controls	Yes	Yes	Yes	Yes	Yes	Yes
Manager's controls	Yes	Yes	Yes	Yes	Yes	Yes
Parents' controls	Yes	Yes	Yes	Yes	Yes	Yes
Time FEs	Yes	Yes	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes	Yes	Yes
Num. obs.	43,376	43,376	43,376	43,376	29,622	43,376
Adj. R-sq	0.0161	0.0161	0.0163	0.0162	0.0172	0.0162

This table shows how the relation between a manager's family wealth and performance is affected by various barriers on a path to asset management. The dependent variable is the gross fund alpha (in percentage points), defined as the gross return of the fund minus the return predicted by the four-factor model estimated over the trailing 36 months. The main independent variable of interest is the interaction term between family wealth (*Wealth*) and the proxies for entry barriers defined below. *HomeUniDistance* is the distance, in thousands of kilometers, between the manager's parent home and his undergraduate college. *HighHomeUniDistance* is a binary indicator that equals one if the distance between the manager's parent home and his undergraduate college exceeds 1,000 kilometers. *UniNYDistance* is the distance, in thousands of kilometers, between the manager's undergraduate college and Manhattan, NY. *HighUniNYDistance* is a binary indicator equal to one if the distance between the manager's undergraduate college and Manhattan, NY exceeds 1,000 kilometers. *BusinessDegree* is a binary indicator equal to one if the manager's undergraduate degree is in finance, economics, accounting, or business. *UnemploymentAtEntry* is the average monthly unemployment rate (in percentage points) in the year when the manager joined the mutual fund industry. The control variables are the same as in Table 3 (suppressed for brevity). Appendix D defines the variables. All regressions include Morningstar fund style fixed effects and time fixed effects and the corresponding *t*-statistics are reported in parentheses. Statistical significance levels for this test are indicated as follows: *, 10%; **, 5%; and ***, 1%.

Table 7
Managerial promotions and exits

Dependent variable	Promotion, <i>AIM inferred</i>			Promotion, <i>fee inferred</i>			Exit from asset management		
Model	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
<i>FundAlpha</i>	0.0064** (2.02)	0.0086** (2.31)	0.0078** (2.21)	0.0050** (2.41)	0.0064** (2.48)	0.0092** (2.78)	-0.0026*** (-2.57)	-0.0042*** (-2.69)	-0.0046*** (-2.89)
<i>Wealth</i>									
<i>WealthHigh</i>									
<i>FundAlpha * Wealth</i>									
<i>FundAlpha * WealthHigh</i>									
<i>FundSize</i>									
<i>FundAge</i>									
<i>ManagerTenure</i>									
<i>FirmSize</i>									
<i>FirmLogNumFunds</i>									
<i>Volatility</i>									
<i>Skewness</i>									
<i>UnitM2Rank</i>									
<i>HasPhD</i>									
<i>ParentFide</i>									
Time FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Num. obs.	41,026	40,218	40,218	41,026	40,218	40,218	37,503	36,825	36,825
Adj. R-sq	0.0054	0.0058	0.0060	0.0047	0.0050	0.0054	0.0012	0.0013	0.0015

This table studies how family wealth affects managerial promotions and exits from the mutual fund industry, using linear probability regressions. In Columns 1-6, the dependent variable is a promotion dummy. *Promotion, AIM inferred* (*Promotion, fee inferred*), defined as a binary indicator equal to one if the total dollar assets managed by the manager (total management fee accruing to the manager) more than doubles since the previous month. In Columns 7-9, the dependent variable is an exit dummy. *Exit from asset management*, defined as a binary indicator equal to one if the observation month is the last month for the manager in the sample. This variable is undefined if the observation month is December 2012 or if either of these two conditions hold: (1) the manager appears as either an insurance fund or a hedge fund manager in Morningstar in the next twelve months after leaving or (2) the manager dies in the same or next year after leaving. The main independent variable of interest is the interaction term between the manager's family wealth (*Wealth*) and his past performance (*FundAlpha*). *FundAlpha* is the average gross monthly alpha (in percentage points) earned by the manager over the trailing 60 months. *WealthHigh* is a binary indicator equal to one if the manager's family wealth is above the sample median. The control variables include the characteristics of the mutual fund and fund family, as well as those of the manager and his parents. Appendix D defines the variables. All regressions include Morningstar fund style fixed effects and time fixed effects. Standard errors are clustered at the fund manager level, and the *t*-statistics are reported in parentheses. Statistical significance levels for this test are indicated as follows: *, 10%; **, 5%; and ***, 1%.

- For exits, poor performance predicts leaving the industry, but wealth reduces the sensitivity of exit to poor performance.
- The paper interprets this as less objective career evaluation for managers from wealthy backgrounds.

Interpretation: Table 7 is evidence on selection after entry. Poor-background managers need performance to advance and avoid exit. Wealthy-background managers appear to face softer performance-based career filters.

Economic message: The labor market mechanism operates both at entry and after entry. The career system appears to give wealthier managers more latitude despite weaker performance.

5.9 Table 8: Family wealth and portfolio activity

Read:

- Less wealthy managers trade more, have shorter holding horizons, and herd less.
- The most important result is that less wealthy managers have superior stock-picking returns.
- There is no comparable evidence that they are better at market timing.
- Panel B uses parental death as a proxy for increased personal wealth through inheritance and finds that the performance difference does not disappear as managers accumulate personal wealth.

Interpretation: Table 8 connects the alpha result to investment behavior. The advantage of poorer-background managers is not just more activity; it is more valuable security selection. The inheritance test suggests the gap is not simply contemporaneous wealth constraints or effort induced by being currently poor.

Economic message: The mechanism is consistent with managerial skill and effort in choosing securities, rather than generic risk taking.

Table 8 Family wealth and portfolio activity										
A. Baseline effect										
Dependent variable	Turnover		Holding horizon		Herd		Stock picking		Market timing	
Model	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Wealth	-0.0100*	-0.0151**	0.0066*	0.0013*	0.2746	0.2612	-0.0488***	-0.0484***	0.0078	0.0054
	(-1.90)	(-2.20)	(1.70)	(1.79)	(1.08)	(1.05)	(-2.72)	(-2.93)	(0.31)	(0.21)
FundSize	-1.868***	-2.134***	-0.0060	0.1528	4.2419***	4.0979***	-0.1186**	-0.1106**	0.0048	-0.0046
	(-2.27)	(-2.95)	(-0.08)	(0.18)	(8.47)	(8.40)	(-2.55)	(-2.35)	(0.11)	(-0.11)
FundAge	0.0044	0.0074**	0.4175*	0.0030	0.0041	0.0020	-0.0042	-0.0065	0.0037	0.0043
	(0.21)	(0.28)	(1.16)	(0.33)	(0.62)	(0.33)	(-0.88)	(-0.88)	(0.40)	(0.52)
ManagerTenure	-0.2656*	-0.2229	0.4910**	0.4634**	0.1790*	0.1907*	0.0155**	0.0157**	0.0066	0.0079
	(-1.70)	(-1.55)	(2.02)	(1.96)	(1.73)	(1.93)	(2.38)	(2.25)	(0.87)	(0.91)
FirmSize	-0.5642	-0.4538	1.2181	1.1055	-0.4203	-0.3792	0.0257	-0.0220	-0.1207**	-0.1189**
	(-0.63)	(-0.57)	(1.33)	(1.28)	(-0.72)	(-0.66)	(0.52)	(0.44)	(-2.49)	(-2.45)
FundLogNumFunds	4.0281***	3.951***	-5.9871***	-5.9059***	-0.0469	-0.0726	-0.0672	-0.0647	0.2022**	0.2020**
	(2.23)	(2.42)	(-3.08)	(-3.25)	(-0.05)	(-0.07)	(-0.81)	(-0.77)	(2.31)	(2.29)
UnsSATRank	-2.2889	-0.6164	12.610	11.4685	0.8415	0.7179	0.5755	0.5484	-0.1108	-0.1677
	(-0.29)	(-0.08)	(1.40)	(1.46)	(0.20)	(0.17)	(1.17)	(1.08)	(-0.38)	(-0.56)
HasPFD	4.8825	4.4912	-7.7272**	-6.8886***	-1.3171	-1.6960	-0.0941	-0.0756	-0.2114	-0.2451
	(1.43)	(1.43)	(-2.96)	(-2.74)	(-0.38)	(-0.73)	(-0.45)	(-0.35)	(-1.02)	(-1.16)
ParentalEdu	-0.1573	0.1287	-4.4731	-4.5394*	-2.5214**	-2.4993**	0.0253	0.0219	0.0810	0.0819
	(-0.08)	(0.08)	(-1.54)	(-1.65)	(-2.36)	(-2.43)	(0.31)	(0.27)	(1.00)	(1.02)
Volatility	3.7071***	3.7071***	-3.6169**	-3.6169**	1.3885***	1.3885***	-0.1062***	-0.1062***	0.0360	0.0360
	(5.06)	(5.07)	(-4.40)	(-4.40)	(4.40)	(4.40)	(-3.10)	(-3.10)	(0.76)	(0.76)
Skewness	0.037***	0.037***	-0.0208*	-0.0208*	-0.0253***	-0.0253***	-0.0004	-0.0004	-0.0003	-0.0003
	(0.12)	(0.12)	(-1.92)	(-1.92)	(-2.61)	(-2.61)	(-0.29)	(-0.29)	(-0.63)	(-0.63)
Time FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Num. obs.	6,499	6,499	8,723	8,723	8,692	8,692	8,440	8,440	8,440	8,440
Adj. R-sq.	0.1235	0.1735	0.2488	0.3031	0.2714	0.2791	0.1045	0.1053	0.3524	0.3528

(continued)

(a) Panel A: baseline portfolio activity

Table 8 Continued										
B. Inheritances of wealth										
Dependent variable	Turnover	Holding horizon			Herd	Stock picking		Market timing		
Model	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)	(10)
Wealth	-0.4951 (-0.75)	-0.4369 (-0.75)	-0.6104 (-1.05)	-0.6831 (-1.39)	0.1587 (0.36)	0.1277 (0.29)	-0.0421 (-1.14)	-0.0469 (-1.32)	-0.0169 (-0.41)	-0.0202 (-0.50)
ParentalDeath	4.8669 (1.47)	4.2317 (1.38)	-0.7521* (-1.91)	-0.3564* (-1.88)	-1.9155 (-0.82)	-1.9079 (-0.85)	-0.1726 (-1.16)	-0.1528 (-1.04)	0.2276 (1.19)	0.2286 (1.22)
Wealth * ParentalDeath	-0.5290 (-0.74)	-0.7124 (-1.10)	1.7533** (2.16)	1.9569** (2.38)	0.3554 (0.51)	0.3313 (0.49)	-0.0024 (-0.00)	0.0063 (0.15)	0.0354 (0.81)	0.0319 (0.74)
Fund controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Manager's controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Parent's controls	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Vol. and skew controls	No	Yes	No	Yes	No	Yes	No	Yes	No	Yes
Time FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Num. obs.	4,257	4,257	5,616	5,616	5,616	5,616	5,452	5,452	5,452	5,452
Adj. R-sq.	0.1346	0.1692	0.2239	0.2701	0.2949	0.2991	0.1100	0.1117	0.3493	0.3499

This table studies the relation between a manager's family wealth and his portfolio activity. The dependent variable is one of the measures of portfolio activity, as described below. *Turnover* is the annualized rate (in percentage points) of the sum of the absolute dollar changes in the fund's positions over the quarter to the average fund portfolio value in these adjacent quarters. *Holding horizon* (in months) measures the average duration that the shares are held in the fund's portfolio. It is based on the first-in, first-out (FIFO) assumption about share purchases and sales, as in Lae, Moen, and Wermers (2016). *Herd* is the correlation (in percentage points) between the changes in positions of the fund and the changes in positions of the hypothetical average fund in the same style. *Stock picking* and *Market timing* denote the component of fund performance attributable to stock selection and market timing, respectively, as in Karpavych, Van Nieuwerburgh, and Veldkamp (2014). All the regressions are run at quarterly frequency. Panel A shows the baseline relation between family wealth and portfolio activity. Panel B shows the effect of an increase in managerial wealth from inheritances provided by the death of the last parent. In panel B, the indicator variable *ParentalDeath* is equal to one if both of the manager's parents had died before the observation year and zero otherwise. This variable is set to missing if either parent died in the observation year. Appendix D defines the variables. All regressions include Manager fund style fixed effects and time fixed effects. Standard errors are clustered at the fund manager level, and the t-statistics are reported in parentheses. Statistical significance levels for this test are indicated as follows: *, 10%; **, 5%; and ***, 1%.

(b) Panel B: inheritances of wealth

5.10 Table 9: Family wealth and capital flows

Read:

- Without performance controls, wealth is weakly negatively related to fund flows.
- Once past performance is controlled for, family wealth does not predict flows.
- Flow responds strongly to past performance and is convex, consistent with standard mutual fund flow-performance evidence.

Table 9
Family wealth and capital flows

Dependent variable	Flow					
Model	(1)	(2)	(3)	(4)	(5)	(6)
<i>Wealth</i>	-0.0555* (-1.94)	-0.0286 (-1.03)	-0.0275 (-1.00)	-0.0228 (-0.79)	-0.0368 (-1.29)	-0.0136 (-0.35)
<i>PastAlpha</i>		2.5259*** (10.56)			2.7627*** (7.21)	
<i>PastAlpha * Wealth</i>					-0.1024 (-0.98)	
<i>PastAlphaLow</i>			1.4578*** (5.86)			1.4386*** (3.25)
<i>PastAlphaHigh</i>			3.3648*** (7.22)			3.6939*** (4.86)
<i>PastAlphaT1</i>				0.4188 (1.53)		
<i>PastAlphaT2</i>				5.2614*** (7.65)		
<i>PastAlphaT3</i>				2.8985*** (5.40)		
<i>PastAlphaLow * Wealth</i>						0.0098 (0.07)
<i>PastAlphaHigh * Wealth</i>						-0.1509 (-0.72)
<i>FundSize</i>	-0.2892*** (-3.62)	-0.2982*** (-3.68)	-0.2741*** (-3.50)	-0.2677*** (-3.41)	-0.2997*** (-3.66)	-0.2746*** (-3.47)
<i>FundAge</i>	-0.0633*** (-5.94)	-0.0462*** (-4.73)	-0.0422*** (-4.32)	-0.0393*** (-4.05)	-0.0457*** (-4.68)	-0.0421*** (-4.30)
<i>ManagerTenure</i>	0.0080 (0.73)	0.0017 (0.18)	0.0038 (0.40)	0.0016 (0.17)	0.0023 (0.23)	0.0043 (0.45)
<i>FirmSize</i>	0.4478*** (4.87)	0.4006*** (4.55)	0.3852*** (4.47)	0.3619*** (4.20)	0.4009*** (4.53)	0.3852*** (4.44)
<i>FirmLogNumFunds</i>	-0.8208*** (-4.77)	-0.6980*** (-4.51)	-0.6722*** (-4.42)	-0.6278*** (-4.15)	-0.6996*** (-4.50)	-0.6742*** (-4.40)
<i>Volatility</i>	-0.0368 (-0.65)	0.0244 (0.44)	-0.0211 (-0.37)	-0.0195 (-0.35)	0.0241 (0.43)	-0.0200 (-0.35)
<i>Skewness</i>	0.0028* (1.71)	0.0020 (1.35)	0.0018 (1.21)	0.0018 (1.24)	0.0020 (1.35)	0.0018 (1.22)
<i>UniSATRank</i>	-0.8459 (-1.56)	-1.0209* (-1.93)	-0.9901* (-1.89)	-1.0404** (-2.00)	-1.0190* (-1.93)	-0.9800* (-1.88)
<i>HasPhD</i>	0.4297 (1.19)	0.2233 (0.68)	0.2632 (0.80)	0.2740 (0.82)	0.2164 (0.65)	0.2511 (0.76)
<i>ParentsEdu</i>	-0.0161 (-0.14)	-0.0348 (-0.30)	-0.0310 (-0.27)	-0.0338 (-0.29)	-0.0329 (-0.29)	-0.0274 (-0.24)
Time FEs	Yes	Yes	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes	Yes	Yes
Num. obs.	40,334	39,776	39,776	39,776	39,776	39,776
Adj. R-sq	0.0121	0.0337	0.0352	0.0368	0.0338	0.0353

This table shows the regressions of monthly capital flows into the fund on the manager's family wealth and the fund's past performance. The dependent variable is the fund's capital flow (in percentage points), computed as the ratio of the net dollar flow into the fund over the month to the previous-month fund TNA. The net dollar flow into the fund is the difference between the end-of-month fund TNA and the previous-month fund TNA multiplied by one plus the gross return of the fund over the month. *PastAlpha* is the fund's average net monthly alpha (in percentage points) over the past 36 months. *PastAlphaLow* (*PastAlphaHigh*) is equal to *PastAlpha*, if *PastAlpha* is negative (positive), and zero otherwise. *PastAlphaT1*, *PastAlphaT2*, and *PastAlphaT3* are defined so that the regression fits a continuous piecewise linear function with kinks at the terciles of the *PastAlpha* distribution, following Sirri and Tufano (1998). Appendix D defines the variables. All regressions include Morningstar fund style fixed effects and time fixed effects. Standard errors are clustered at the fund manager level, and the *t*-statistics are reported in parentheses. Significance levels are indicated as follows: *, 10%; **, 5%; and ***, 1%.

- Interactions of wealth with past performance are insignificant.

Interpretation: Table 9 tests whether wealthy-background managers generate side benefits by attracting capital. The evidence says no: flows react to performance, not to the manager's family wealth.

Economic message: Investors do not appear to reward wealthy family descent directly. If wealthy managers underperform, there is no offsetting flow benefit documented in this table.

5.11 Table 10: Family wealth and management fees

Read:

- The dependent variable is the fund expense ratio.
- The coefficients on Wealth and Wealth rank are small and statistically insignificant.
- Expense ratios are related to fund size, fund-family size, volatility, and performance, but not to family wealth.

Interpretation: Table 10 tests another side-benefit story: perhaps wealthy managers charge higher fees because of trust, customer relationships, or social capital. The table finds no reliable evidence for this explanation.

Economic message: Wealthy managers do not appear to compensate investors or fund families through higher fee revenue.

Table 10
Family wealth and management fees

Dependent variable	Expense ratio			
Model	(1)	(2)	(3)	(4)
<i>Wealth</i>	0.0020 (0.27)	-0.0013 (-0.17)		
<i>Wealth, rank</i>			0.0385 (0.64)	0.0175 (0.30)
<i>FundPastPerformance</i>		0.0149* (1.79)		0.0145* (1.71)
<i>FundSize</i>		-0.0510*** (-4.06)		-0.0533*** (-4.24)
<i>FundAge</i>	-0.0023 (-0.84)	0.0016 (0.59)	-0.0020 (-0.74)	0.0021 (0.78)
<i>ManagerTenure</i>	-0.0092*** (-3.84)	-0.0082*** (-3.59)	-0.0093*** (-3.97)	-0.0083*** (-3.78)
<i>FirmSize</i>	-0.0839*** (-7.87)	-0.0538*** (-3.87)	-0.0851*** (-7.89)	-0.0532*** (-3.81)
<i>FirmLogNumFunds</i>	0.1024*** (3.59)	0.0855*** (2.93)	0.1030*** (3.63)	0.0837*** (2.90)
<i>Volatility</i>	0.0347*** (3.01)	0.0394*** (3.45)	0.0335*** (2.91)	0.0385*** (3.38)
<i>Skewness</i>	0.0000 (0.09)	0.0000 (-0.15)	0.0000 (0.14)	0.0000 (-0.13)
<i>UniSATRank</i>	0.0993 (0.79)	0.0965 (0.79)	0.0802 (0.61)	0.0803 (0.63)
<i>HasPhD</i>	0.0133 (0.25)	-0.0036 (-0.07)	0.0199 (0.37)	0.0011 (0.02)
<i>ParentsEdu</i>	-0.0466* (-1.67)	-0.0582** (-2.09)	-0.0458* (-1.66)	-0.0585** (-2.11)
Time FEs	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes
Num. obs.	3,514	3,372	3,556	3,413
Adj. R-sq	0.3033	0.3259	0.2998	0.3240

This table studies the relation between a fund manager's family wealth and the expense ratio of his fund. The dependent variable is the fund's annual expense ratio, expressed in percentage points. Appendix D defines the variables. All regressions include Morningstar fund style fixed effects and time fixed effects. Standard errors are clustered at the fund manager level, and the *t*-statistics are reported in parentheses. Significance levels are indicated as follows: *, 10%; **, 5%; and ***, 1%.

(a) Panel A: tuition proxy and performance

Table 11
Large sample analysis and the characteristics of mutual fund companies

A. College tuition as a proxy for family wealth

Dependent variable	Gross four-factor alpha				
	Entire sample			Birth year < 1960	Birth year ≥ 1960
Model	(1)	(2)	(3)	(4)	(5)
<i>UniTuitionRank</i>	-0.0437*** (-1.99)	-0.0308 (-1.32)	-0.0474** (-2.15)	-0.0455* (-1.71)	-0.0489 (-1.23)
<i>FundSize</i>	-0.0297*** (-7.18)	-0.0296*** (-7.21)	-0.0306*** (-7.36)	-0.0388*** (-6.82)	-0.0162*** (-2.89)
<i>FundAge</i>	-0.0004 (-0.67)	-0.0004 (-0.61)	-0.0004 (-0.59)	-0.0008 (-0.85)	-0.0003 (-0.32)
<i>ManagerTenure</i>	0.0010 (1.09)	0.0008 (0.92)	0.0010 (1.09)	0.0022** (2.11)	-0.0024 (-1.05)
<i>FirmSize</i>	0.0179*** (3.30)	0.0193*** (3.56)	0.0178*** (3.23)	0.0307*** (4.35)	-0.0117 (-1.27)
<i>FirmLogNumFunds</i>	-0.0192* (-1.85)	-0.0201* (-1.94)	-0.0200* (-1.90)	-0.0464*** (-3.58)	0.0385** (2.12)
<i>Volatility</i>	-0.0575*** (-9.05)	-0.0582*** (-9.22)	-0.0565*** (-8.90)	-0.0476*** (-7.11)	-0.0662*** (-5.40)
<i>Skewness</i>	0.0014*** (9.70)	0.0015*** (10.20)	0.0014*** (9.51)	0.0013*** (6.89)	0.0017*** (6.95)
<i>UniSATRank</i>	0.1917*** (4.29)	0.1895*** (4.21)	0.1895*** (4.21)	0.1884*** (3.54)	0.1906** (2.34)
<i>UniAdmissionRate</i>		-0.1040*** (-3.60)			
<i>HasPhD</i>			0.0107 (0.43)	0.0063 (0.27)	0.0387 (0.34)
Time FEs	Yes	Yes	Yes	Yes	Yes
Fund style FEs	Yes	Yes	Yes	Yes	Yes
Num. obs.	198,789	202,414	193,765	125,827	67,439
Adj. R-sq	0.0157	0.0157	0.0162	0.0145	0.0205

B. Temporal trends in the employment of managers, relative measures of family wealth

Decade	Employed managers		Newly hired managers	
	Tuition	Residual tuition	Tuition	Residual tuition
1970-1979	3.232	2.992	3.119	3.054
1980-1989	3.041	2.924	3.041	3.038
1990-1999	2.917	2.928	2.951	3.028
2000-2009	2.800	2.834	2.886	2.910
>2009	2.840	2.875	2.800	2.948

C. Characteristics of mutual fund companies

	Employed managers		Newly hired managers	
	Tuition	Residual tuition	Tuition	Residual tuition
Company size (log of TNA in \$000)	0.111	0.048	0.117	0.058
Investment style concentration	-0.095	-0.044	-0.033	-0.011
Managers' TNA concentration	-0.063	-0.061	-0.030	-0.010
Academic selectivity	-0.106	-0.102	-0.045	-0.027
Manager turnover	0.072	0.100	0.054	0.065

(continued)

(b) Panels B-C: hiring trends and firm characteristics

5.12 Table 11: Large sample analysis and characteristics of mutual fund companies

Read:

- Panel A uses college tuition rank as a noisy large-sample proxy for family wealth.
- Tuition rank is negatively related to gross alpha in the full sample, even after education-quality controls.
- The negative relation appears in both older and younger subsamples, though statistical significance is weaker among younger managers.
- Panel B suggests that the raw tuition level of newly hired managers declined over time, but the decline is much smaller after removing education quality.
- Panel C shows modest correlations between firm characteristics and the wealth composition of managers.

Interpretation: Table 11 extends the analysis beyond the census-constrained cohort. The tuition proxy is noisy and cannot replace direct family wealth measures, but it points in the same direction: wealthier educational backgrounds predict weaker performance after controlling for school quality.

Economic message: The main mechanism may not be limited to the earliest mutual fund managers. However, the large-sample evidence is suggestive rather than definitive because tuition is a rough proxy for

family wealth.

6 Interpretive synthesis

- **Family wealth is informative only conditional on selection.** Wealthy children may have better education and networks, but conditional on becoming fund managers, wealth also means the candidate may have faced lower effective barriers.
- **Controls strengthen the core result.** This is not a nuisance feature; it is a model prediction. Once education and parental human capital are controlled for, the remaining wealth component more cleanly captures privilege in selection.
- **The mechanism is about gatekeeping.** Entry barriers and promotion filters are the key institutional channel. Wealth changes how hard it is to enter and advance, which changes the skill distribution among those who make it.
- **The agency problem is indirect.** Investors delegate capital to fund companies, and fund companies delegate capital to managers. If hiring or promotion criteria include social background, networks, or family status, investors may bear the cost through lower alpha.
- **The result is strongest where skill matters.** Down markets, stock picking, and barriers to entry sharpen the relation. Flows and fees do not compensate for the performance loss.

7 Short summary

- The paper studies whether family descent predicts mutual fund manager performance.
- It matches Morningstar fund managers to individual 1940 Census records on parents' income, home value, rent, education, household servants, and neighborhood characteristics.
- The main sample contains 387 older mutual fund managers and 619 funds.
- The main family wealth measure scales father's income, rent, or home value by state medians.
- Managers from wealthier families underperform managers from less wealthy families in gross alpha, benchmark-adjusted returns, abnormal benchmark returns, and value added.
- The negative relation becomes stronger after controlling for education and parental characteristics, consistent with the selection model.
- The gap is stronger in down markets, for only children, and when entry barriers are higher.
- Entry barriers include distance from home to college, distance from college to New York, business-degree specialization, and unemployment at entry.
- Promotions of poorer-background managers are more performance-sensitive; wealthy managers' promotions depend less on past alpha.
- Poorer-background managers trade more actively and create more value through stock picking.
- The results are not explained by window dressing, risk shifting, late trading, higher flows, or higher fees.
- A large-sample tuition proxy suggests that the relation may extend to younger manager cohorts, but this evidence is less precise.

8 Conclusion

8.1 Core conclusion

Chuprinin and Sosyura show that family descent can serve as a signal of managerial quality in a high-barrier profession. Among mutual fund managers, poorer family background predicts better risk-adjusted performance, not because poverty itself creates skill, but because low-wealth candidates must pass stricter selection filters to enter and advance in asset management.

8.2 Economic intuition

The intuition is a conditional-selection argument. Wealth relaxes constraints: it can finance elite education, geographic mobility, networks, and access to scarce job opportunities. Therefore, a wealthy candidate can reach the same professional position with lower underlying ability than a poor candidate who lacked those advantages. Conditional on being a fund manager, low wealth is therefore a positive signal of skill.

8.3 What the paper does not prove

The paper does not randomly assign family wealth or directly observe all job applicants. It cannot fully separate every social-network, culture, or unobserved-ability channel. It also focuses on older managers for whom census records are available. The evidence is best interpreted as a rich observational test of a specific selection mechanism, supported by many mechanism and falsification tests.

8.4 Takeaway

The paper adds a labor-market dimension to asset management. Investor outcomes depend not only on portfolio choices but also on how fund companies select and promote managers. Family background can influence those selection rules, and the resulting agency frictions can reduce value for mutual fund investors.